

Trading Tactics

In [Table 75.5](#) I don't show the usual trading tactics. I suggest you visit Bill Wolfe's website or find a copy of his article, "Seeing the Future," if you wish to know how to better trade the Wolfe wave.

[Table 75.5](#) shows how often price drops to various points.

Hit ETA and EPA. I conducted a visual survey using 100 stocks. I found that 36% of the time, for those stocks that reached the EPA line, they reached the line within a 5-day window (2 days before the ETA to 2 days after). The result gives you an idea of how many trades will actually reach the price target on time. I only counted those in bull markets, not bear markets.

Hit EPA, stopped out, ultimate low. I measured (using a computer) what price did on the way to the ultimate low, which is the lowest low before price closed more than 20% above the low (after point 5).

If price *closed* above the top of point 5, then I considered the trade stopped out. In bull markets, just over half the trades were stopped out in this manner.

If price reached the EPA target, then that completed the trade. Just over a third reached the target. The remainder reached the ultimate low, the lowest low before a rebound.

Points 1 through 4. On the way to finding the ultimate low, I computed how often price dropped to the price of the associated turns. For example, I found that price on the way down from 5 reached the next nearest point (3) 86% of the time in bull markets and 92% of the time in bear markets.

In other words, you can use these percentages to help gauge how far price might drop.